

9. **Consider refinancing high-rate credit card debt with a home equity loan.** The interest you pay on a home equity loan up to \$100,000 is deductible. The interest you pay on credit cards is not. Keep in mind, though, that home equity loans come with risk—the collateral is your house. What’s more, don’t get into the trap of getting a home equity loan to live beyond your means. (For details, go to Chapter 3). If you are truly disciplined you can do this, but borrow only what you owe on your cards and pay it back as quickly as possible.
10. **You may want to consider taxes before you choose your wedding date.** Okay, call me unromantic. But if you both have fairly high incomes, the two of you might save hundreds of dollars if you marry in January rather than December. That’s because you may owe more in taxes by filing a joint return than by filing two single returns. The general rule is that if you and your betrothed earn about the same income, you will probably save money by marrying after the first of the year. If one of you earns much more than the other, it’s generally better to get married before the end of the year and file jointly. The fact that married people sometimes pay more tax than singles is known as the “marriage penalty.” Congress has been promising to abolish it for years. In fact, by the time you file your taxes this year the marriage penalty may no longer exist—in which case you should feel free to plan your wedding whenever you want!

↓ **DEDUCTIONS FOR THE SELF-EMPLOYED**

If you work for yourself—that includes anyone who has his or her own company or who makes a living as a freelancer—you have certain responsibilities and are eligible for some special deductions.

If you’re self-employed, the companies you do contract or freelance work for probably do not withhold taxes from their payments to you. But you can’t simply wait until the end of the year to pay the IRS. Instead, you probably will have to pay income tax quarterly. Consult IRS Publication